

Existing Home Sales Rebound in February but Maintain Sluggish Pace

Challenging Affordability Conditions Continue to Weigh on Resales

Economic Indicator

Economist(s)



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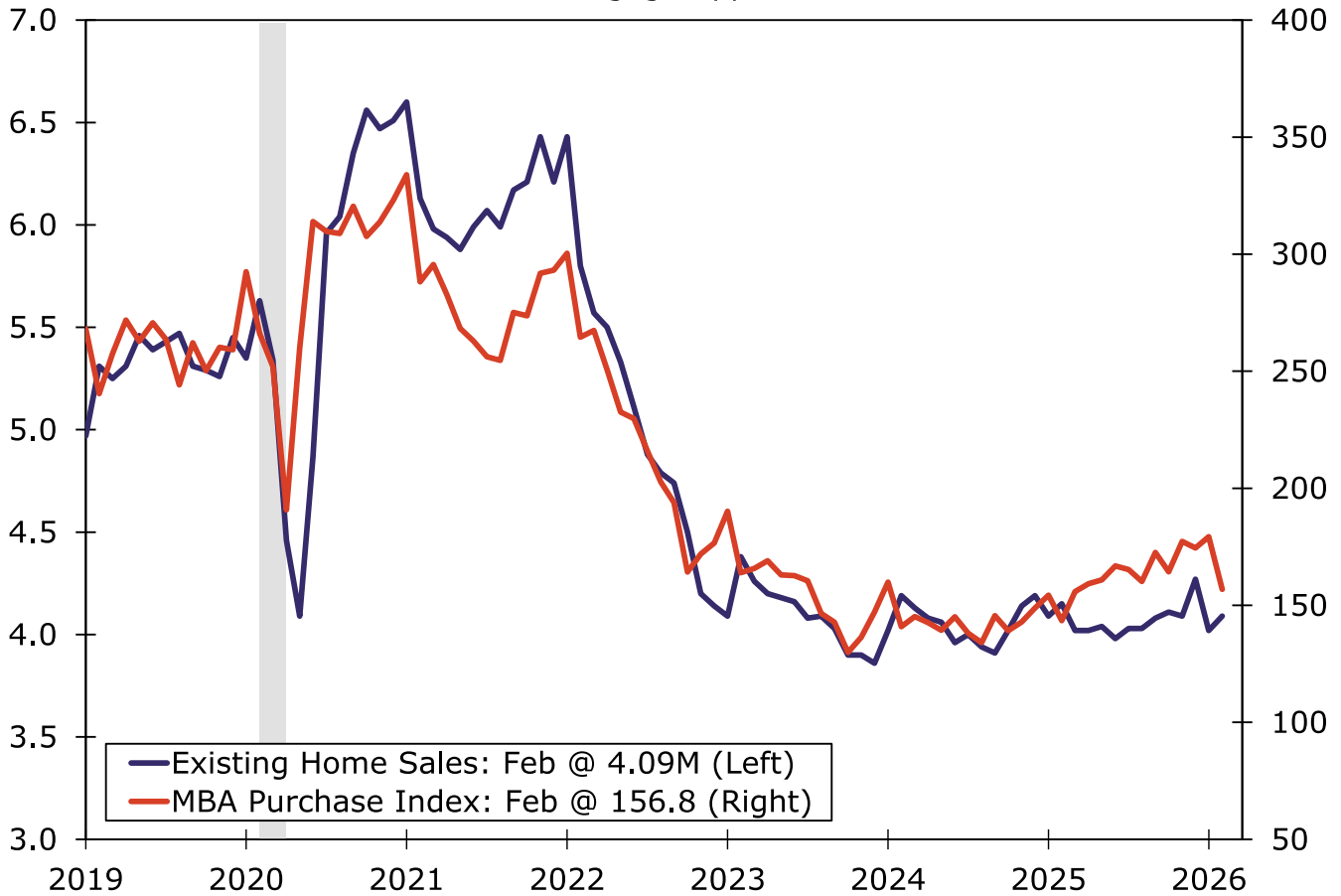


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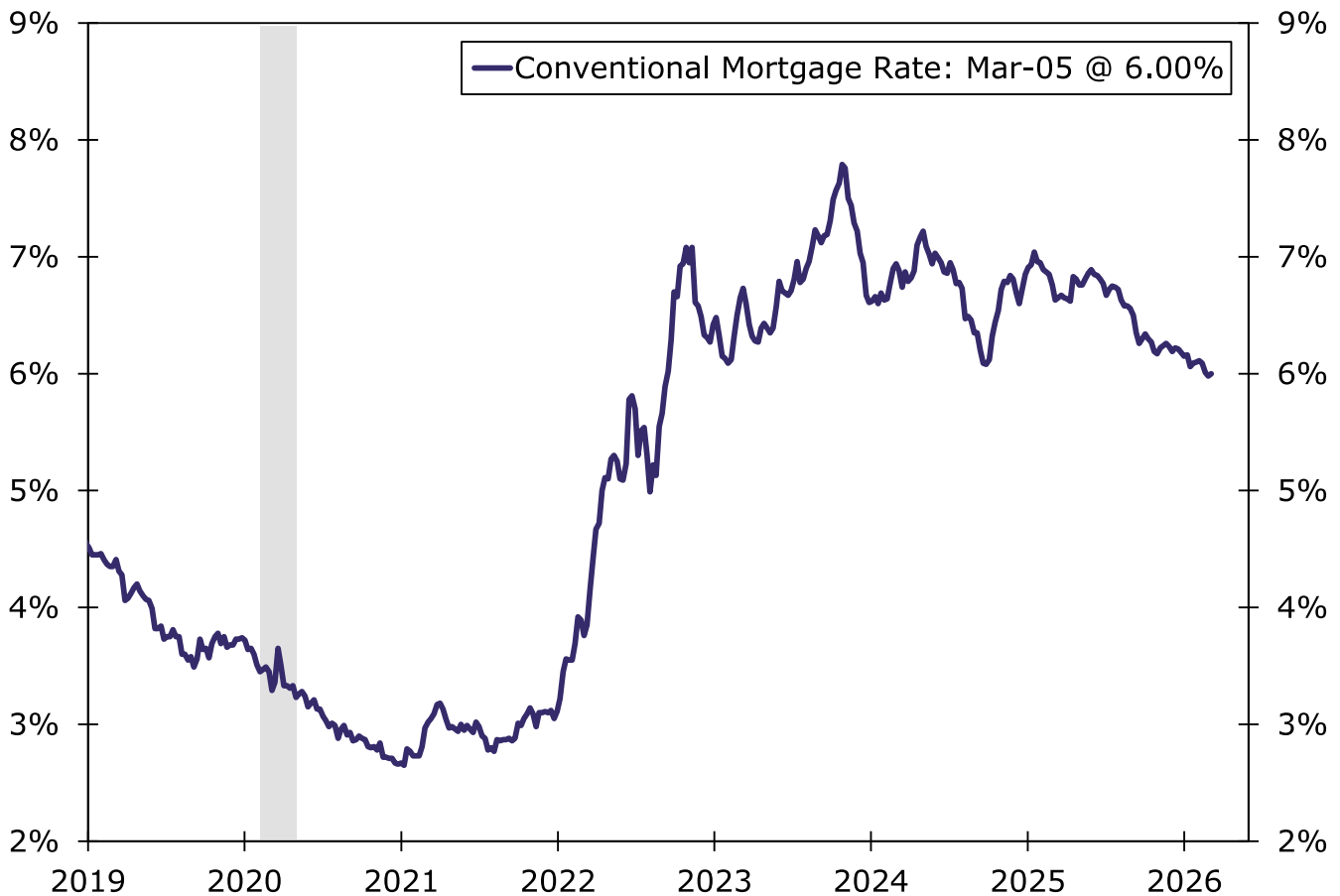
- Existing home sales rose 1.7% to a 4.09 million unit pace in February, partially recovering from the 5.9% tumble in January. Harsh winter weather likely suppressed sales during both months, each of which remained notably below the trend at the end of 2025. A drop in mortgage applications for purchase during February suggests resales will remain muted in the months ahead.
- February's improvement was entirely driven by a pickup in single-family resales, which rose 2.5% over the month. Condo and co-op sales, which fell 5.3% during the month, posted their second consecutive contraction.
- Affordability, though improved around the edges, remains a significant limitation. After temporarily dipping below 6.0% in late February, mortgage rates have moved back up to roughly 6.1% according to Mortgage News Daily. This move is consistent with our forecast for the 30-year average rate to hover between 6.1% and 6.2% over the next two years.
- Single-family price appreciation moderated to just 0.2% year-over-year. Yet, annual price appreciation remains stronger in the Northeast (+4.0%) and Midwest (+2.3%) than in the South (+0.2%) and West (-2.2%).
- Single-family resale inventory is gradually increasing, in-line with typical seasonal patterns. Single-family inventory registered at 1.18 million in February, up slightly during the month but still 18% below the level in February 2019. Meanwhile, months supply rose to 3.8 from 3.6 in January.
- The overall story that we outlined in our latest residential outlook remains intact. Homebuying is likely to slowly improve over the course of the year, but should continue to run at a sluggish rate on account of adverse affordability conditions.

Existing Home Sales

SAAR, In Millions; Mortgage Applications for Purchase

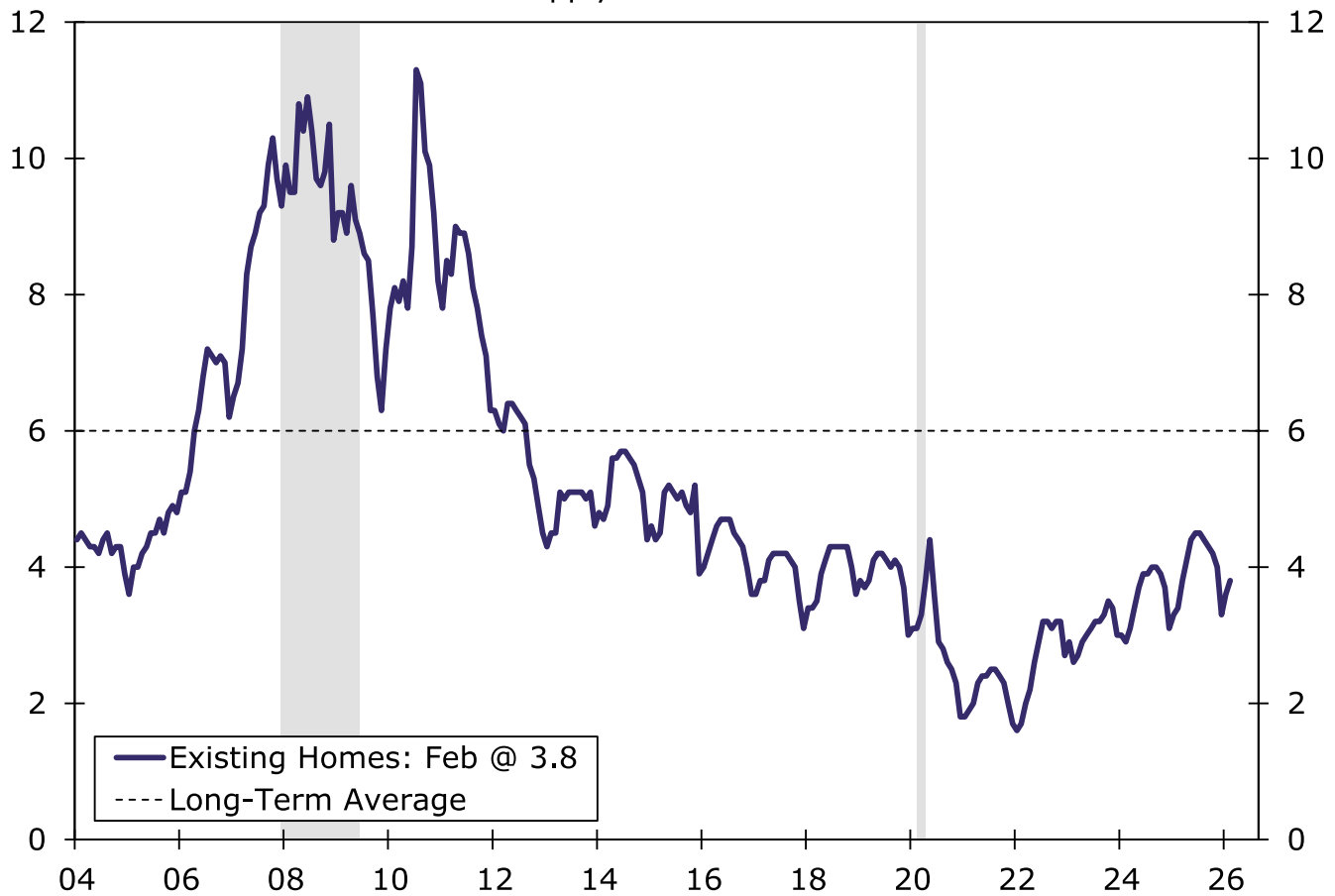


Freddie Mac 30-Year Conventional Mortgage Rate



Inventory of Existing Single-Family Homes

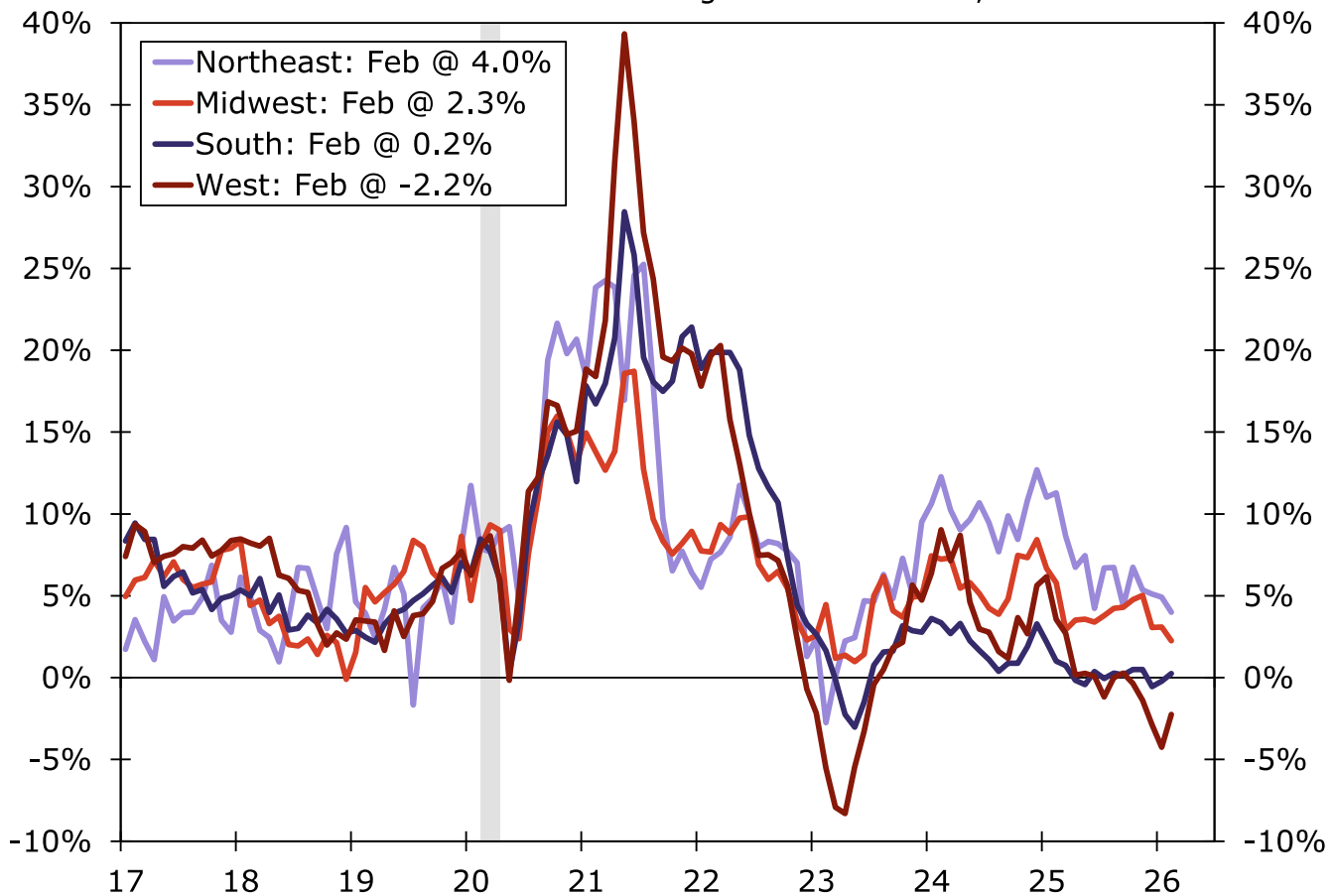
Months' Supply at Current Sales Pace



Source: NAR and Wells Fargo Economics

Regional Median Single-Family Home Price

Year-over-Year Percent Change of Median Price, NSA



Source: NAR and Wells Fargo Economics

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All estimates/forecasts are as of 3/10/2026 unless otherwise stated. 3/10/2026 11:21:43 EDT.

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